Problem 6: The following is the Balance sheet of Mishkat Inc. as on 31st December 2020.

Liabilities	Tk.	Assets	Tk.
Share capital	2,00,000	Land and building	1,40,000
Profit and loss account	30,000	Plant and machinery	3,50,000
General reserve	40,000	Stock	2,00,000
12% Debenture	4,20,000	Sundry debtors	1,00,000
Sundry creditors	1,00,000	Bill receivable	10,000
Bills payable	50,000	Cash at bank	40,000
	8,40,000		8,40,000

mpute ratios.

2)

E18-11 Wiemers Corporation's comparative balance sheets are presented below.

WIEMERS CORPORATION
Balance Sheets
December 31

	2017	2016
Cash	$ 4,300	$ 3,700
Accounts receivable (net)	21,200	23,400
Inventory	10,000	7,000
Land	20,000	26,000
Buildings	70,000	70,000
Accumulated depreciation—buildings	(15,000)	(10,000)
Total	$110,500	$120,100
Accounts payable	$ 12,370	$ 31,100
Common stock	75,000	69,000
Retained earnings	23,130	20,000
Total	$110,500	$120,100

Wiemers's 2017 income statement included net sales of $100,000, cost of goods sold of $60,000, and net income of $15,000.

Instructions
Compute the following ratios for 2017.

(a) Current ratio.
(b) Acid-test ratio.
(c) Accounts receivable turnover.
(d) Inventory turnover.
(e) Profit margin.
(f) Asset turnover.
(g) Return on assets.
(h) Return on common stockholders' equity.
(i) Debt to assets ratio.

a correct statement
rehensive income.

E18-12 For its fiscal year ending October 31, 2017, Haas Corporation reports the following partial data shown below.

Illustration 18-27
Summary of liquidity, profitability, and solvency ratios

Illustration 18-27 summarizes the ratios disc
includes the formula and purpose or use of e

Ratio	Formula	
Liquidity Ratios		
1. Current ratio	$\frac{\text{Current assets}}{\text{Current liabilities}}$	Me
2. Acid-test (quick) ratio	$\frac{\text{Cash + Short-term investments + Accounts receivable (net)}}{\text{Current liabilities}}$	Me
3. Accounts receivable turnover	$\frac{\text{Net credit sales}}{\text{Average net accounts receivable}}$	M
4. Inventory turnover	$\frac{\text{Cost of goods sold}}{\text{Average inventory}}$	M
Profitability Ratios		
5. Profit margin	$\frac{\text{Net income}}{\text{Net sales}}$	M
6. Asset turnover	$\frac{\text{Net sales}}{\text{Average total assets}}$	M

Ratio	Formula
7. Return on assets	$\frac{\text{Net income}}{\text{Average total assets}}$
8. Return on common stockholders' equity	$\frac{\text{Net income} - \text{Preferred dividends}}{\text{Average common stockholders' equity}}$
9. Earnings per share (EPS)	$\frac{\text{Net income} - \text{Preferred dividends}}{\text{Weighted-average common shares outstanding}}$
10. Price-earnings (P-E) ratio	$\frac{\text{Market price per share}}{\text{Earnings per share}}$
11. Payout ratio	$\frac{\text{Cash dividends declared on common stock}}{\text{Net income}}$
Solvency Ratios	
12. Debt to assets ratio	$\frac{\text{Total liabilities}}{\text{Total assets}}$
13. Times interest earned	$\frac{\text{Net income} + \text{Interest expense} + \text{Income tax expense}}{\text{Interest expense}}$

LEARNING OBJECTIVE 3

Apply the concept of sustainable inc